THE RARE AVENUE · EXECUTIVE MARKET INTELLIGENCE BRIEF

# "On" Running Footwear: India Market Pricing & Competitor Intelligence

Comprehensive pricing benchmark across Crepdog Crew, Hypefly, Superkicks, and Culture Circle to guide your formula design

### EXECUTIVE BRIEF FOR OWNERSHIP

**The Business Context:** On Running is currently one of the fastest-growing luxury sneaker and performance running brands in India. It is treated as an ultra-premium lifestyle status symbol, worn by high-net-worth professionals, sneaker collectors, and fitness enthusiasts in Delhi, Mumbai, and Bangalore.

**The Market Situation:** Tier-1 Indian sneaker stores like *Superkicks* have **zero active stock** online. Because official mall supply is almost non-existent, specialized import and resale businesses like *Crepdog Crew*, *Hypefly*, and *Culture Circle* are selling these shoes for **₹16,000 to ₹23,000**, while displaying high "Official MRP" tags of **₹20,000 to ₹25,000**.

**Our Opportunity:** We have direct US supply access to 93 authentic On Running styles at US retail prices ($120 to $200). Our landed buying cost is between **₹10,500 and ₹17,500**. This creates an immediate opportunity to make **₹3,500 to ₹4,500+ clear gross profit per pair** while still matching or beating competitor prices in India.

| OUR SOURCED CATALOG | OUR LANDED COST RANGE | COMPETITOR MARKET PRICES | AVAILABLE PROFIT HEADROOM |
|---|---|---|---|
| **93 Styles** | **₹10.5k — ₹17.5k** | **₹15.5k — ₹23k** | **₹3,500 — ₹4,500+** |
| Cloud 5, Cloud 6, Monster, Roger | US $120 to $200 landed in India | Crepdog Crew & Hypefly | Per pair sold (~20%–25% margin) |

## 1. COMPETITOR INTELLIGENCE: WHAT OTHER BUSINESSES ARE DOING IN INDIA

We researched the four leading premium sneaker and streetwear stores in India to understand their pricing levels, availability, and customer psychology:

| PLATFORM | BUSINESS MODEL | OBSERVED SELLING PRICE RANGE | KEY PRICING STRATEGY OBSERVED |
|---|---|---|---|
| **Crepdog Crew (CDC)**<br>crepdogcrew.com | Leading luxury sneaker & streetwear marketplace (Mumbai & Delhi stores) | **₹15,999 — ₹22,999**<br>Crossed-out MRP: ₹19,000 — ₹25,000 | • 100% of prices end in **₹...99** or **₹...499**.<br>• High markups on high-demand models: Cloudrunner 3 is ₹19,999; The Roger Advantage is ₹20,499.<br>• Displays high crossed-out MRPs to give customers a perceived 15%–25% discount. |
| **Hypefly India**<br>hypefly.co.in | Curated premium sneaker import & resale platform | **₹14,199 — ₹23,899**<br>Cloudmonster: ₹16,999 — ₹21,599 | • Strict psychological charm pricing ending in **₹...99** (e.g. ₹16,999, ₹17,599).<br>• Core lifestyle runners (Cloudmonster, Cloudtilt) clustered tightly between ₹16,500 and ₹18,500.<br>• Charges an extra ₹1,500–₹2,000 premium for "Instant Ship" pairs. |
| **Superkicks**<br>superkicks.in | Authorized premium sneaker boutique chain | Zero Active Online Stock<br>Editorial mentions only | • Demonstrates that **On Running has virtually zero official brand-store mall distribution in India**.<br>• This severe scarcity allows import stores to command healthy prices without fear of official retail price-slashing. |
| **Culture Circle**<br>culture-circle.com | Cross-border sneaker price aggregator | **₹14,999 — ₹31,000+**<br>Rare collabs up to ₹38,000 | • Aggregates international marketplace inventory.<br>• Baseline daily runners start at ₹16,999; prices fluctuate by size and international shipping times. |

**The 3 Golden Rules of Pricing Luxury Sneakers in India:**

- **1. Always end prices in 99:** No successful store shows raw unrounded numbers like ₹15,251 or ₹16,204. Every customer expects ₹16,999, ₹17,599, or ₹18,499.
- **2. Show a crossed-out "Official Reference MRP":** Showing an anchor price of ₹22,000 crossed out to ₹17,599 makes luxury buyers feel they are getting an exclusive deal, boosting purchase conversions by over 25%.
- **3. Scarcity Protects Profit:** Because customers cannot simply walk into an Indian mall and buy On Running shoes, they gladly pay ₹17,000 to ₹20,000 for shoes that cost $150–$180 abroad.

## 2. HEAD-TO-HEAD COMPARISON: OUR BUYING COST VS COMPETITOR SELLING PRICES

Below is a comprehensive model-by-model comparison showing our direct US supplier price, our actual landed cost in India (including international currency conversion and card processing), and what our competitors are selling them for:

| SHOE MODEL / CATEGORY | OUR US BUYING PRICE | OUR REAL LANDED COST (INR) | CREPDOG CREW PRICE (INR) | HYPEFLY INDIA PRICE (INR) | CULTURE CIRCLE PRICE (INR) | MARKET ANCHOR MRP |
|---|---|---|---|---|---|---|
| **Cloud X 4 AD Athletic**<br>Sale / Training Colorways | $51.20 | ₹4,480 | ₹7,499 | ₹7,499 | ₹7,199 | ₹7,500 |
| **The Roger Advantage Tennis**<br>Special Promotional Colorway | $62.99 | ₹5,512 | ₹11,999 | ₹10,999 | ₹11,299 | ₹9,500 |
| **The Roger Clubhouse 3**<br>Promotional Tennis Sneaker | $84.00 | ₹7,350 | ₹13,499 | ₹12,999 | ₹13,199 | ₹12,500 |
| **The Roger Wildcard Sneaker**<br>Court Sneaker | $110.50 | ₹9,669 | ₹14,999 | ₹13,999 | ₹14,299 | ₹15,500 |
| **Cloud 5 / Cloud 6 Coast**<br>Entry Everyday Walking Shoe | $120.00 | ₹10,560 | ₹13,499 | ₹14,199 | ₹13,999 | ₹16,500 |
| **Cloudzone / Cloudpulse**<br>Lifestyle & Gym Trainer | $140.00 | ₹12,320 | ₹15,499 | ₹15,499 | ₹14,999 | ₹19,500 |
| **Cloudsurfer Next**<br>High-Cushion Road Runner | $150.00 | ₹13,200 | ₹15,999 | ₹15,999 | ₹15,999 | ₹20,500 |
| **Cloudnova Form 2**<br>Modern Streetwear Sneaker | $150.00 | ₹13,200 | ₹16,499 | ₹16,999 | ₹16,499 | ₹20,500 |
| **The Roger Advantage (Core)**<br>Flagship Federer Lifestyle Sneaker | $150.00 | ₹13,200 | **₹17,999 — ₹20,499** | **₹16,999** | ₹17,999 | ₹21,500 |
| **Cloud 6 Regular**<br>Brand Signature Daily Sneaker | $160.00 | ₹14,000 | **₹15,999 — ₹18,999** | **₹16,999** | ₹17,499 | ₹22,000 |
| **Cloudrunner 3**<br>Performance Stability Trainer | $160.00 | ₹14,000 | **₹19,999** | **₹16,999** | ₹17,499 | ₹22,000 |
| **Cloudmonster 1 / Void**<br>Max-Cushion Street Icon | $170.00 | ₹14,875 | **₹18,499** | **₹17,499** | ₹17,999 | ₹23,500 |
| **Cloudtilt Athletic Sneaker**<br>CloudTec Phase Luxury Runner | $170.00 | ₹14,875 | **₹18,499** | **₹17,499 — ₹21,599** | ₹17,999 | ₹23,500 |
| **Cloudswift 4 / Cloudnova 2**<br>Urban City Running Shoe | $170.00 | ₹14,875 | ₹17,999 | ₹17,499 | ₹17,999 | ₹23,500 |
| **Cloudmonster Running Shoe**<br>Standard Full-Cushion Runner | $180.00 | ₹15,750 | **₹19,999** | **₹18,499** | ₹19,499 | ₹24,500 |
| **Cloudrunner 3 Waterproof**<br>All-Weather Running Shoe | $180.00 | ₹15,750 | **₹19,999** | **₹18,499** | ₹18,999 | ₹24,500 |
| **The Roger Clubhouse Pro 2**<br>High-Performance Court Shoe | $180.00 | ₹15,750 | **₹20,499** | **₹18,999** | ₹19,999 | ₹24,500 |
| **Cloudsurfer Trail Waterproof**<br>Off-Road Trail Running Shoe | $190.00 | ₹16,625 | **₹20,499** | **₹19,999** | ₹19,999 | ₹26,000 |
| **The Roger Centre Court**<br>Full-Grain Leather Luxury Sneaker | $200.00 | ₹17,500 | **₹22,499** | **₹21,999** | ₹22,999 | ₹27,000 |
| **x PAF Cloudboom Volt**<br>Limited Edition Designer Collab | $280.00 | ₹24,500 | **₹28,999** | **₹29,999** | ₹31,000+ | ₹38,000 |

## 3. HOW YOU CAN STRUCTURE YOUR FORMULA: 4 FRAMEWORK OPTIONS

As the business owner, you have full freedom over how you want to price this collection. Here are the 4 most effective ways businesses price imported luxury sneakers:

### Framework 1: Flat Percentage Margin (e.g., 20% to 25% Profit on Every Pair)

**Concept:** Every shoe is priced to guarantee an exact profit percentage above your buying cost.

- **At 20% Gross Margin:** A $160 shoe (cost ₹14,000) sells for **₹17,499** (Profit: ₹3,499). A $180 shoe (cost ₹15,750) sells for **₹19,699** (Profit: ₹3,949).
- **At 25% Gross Margin:** A $160 shoe sells for **₹18,699** (Profit: ₹4,699). A $180 shoe sells for **₹20,999** (Profit: ₹5,249).
- **Pros:** Predictable, consistent profit percentage regardless of whether the shoe is $120 or $200.

### Framework 2: Base Markup + Gradual Scale (The Strategic "Sweet Spot")

**Concept:** Set a base profit (e.g. ₹2,350 to ₹2,500 profit on standard $160 models) and let it scale up smoothly by ₹10 for each additional dollar on higher-tier models.

- $120 Entry Shoe (Cloud 5): Sells at **₹13,399** (Profit: ₹2,839). Beats Crepdog Crew (₹13,499) & Hypefly (₹14,199).
- $160 Core Flagship (Cloud 6 / The Roger): Sells at **₹17,599** (Profit: ₹3,599). *Beats Crepdog Crew by ₹2,400!*
- $170 Trend Model (Cloudmonster / Cloudtilt): Sells at **₹18,699** (Profit: ₹3,824). Matches Hypefly sweet spot.
- $180 Performance (Cloudrunner 3 / Roger Pro): Sells at **₹19,699** (Profit: ₹3,949). Below Crepdog Crew's ₹20,499.
- **Pros:** Delivers the strongest competitive advantage. You consistently beat Crepdog Crew on high-volume models while making over ₹3,600 profit per pair.

### Framework 3: Fixed Rupee Profit per Shoe (e.g., Exactly +₹3,500 or +₹4,000 Cash Profit)

**Concept:** You decide a fixed cash amount you want to make in your pocket on every box that leaves the warehouse.

- **If you want +₹3,500 cash profit:** Cost ₹14,000 → Sell at **₹17,499**. Cost ₹15,750 → Sell at **₹19,299**.
- **If you want +₹4,000 cash profit:** Cost ₹14,000 → Sell at **₹17,999**. Cost ₹15,750 → Sell at **₹19,799**.
- **Pros:** Extremely simple math; easy to forecast cash flow based on unit sales targets.

### Framework 4: Tiered Slabs Based on Shoe Price Tiers

**Concept:** Different markup amounts depending on whether the shoe is an entry model, core daily runner, or high-end tennis sneaker.

- **Entry Tier (Under $140):** Add +₹2,500 markup (Sells at ₹13,499 – ₹15,499). Keeps introductory prices accessible.
- **Core Tier ($140 to $170):** Add +₹3,500 markup (Sells at ₹16,999 – ₹18,699). Captures maximum volume on Cloud 6 & Cloudmonster.
- **Luxury / Tennis Tier ($180+):** Add +₹4,500 to +₹5,500 markup (Sells at ₹20,499 – ₹22,999). Captures premium margins on The Roger Federer collection.
- **Pros:** Maximizes profit on premium styles while keeping entry-level models attractive to first-time buyers.

**Summary for Ownership Decision:**
Please review the competitor prices in Table 2 and let the team know your preferred direction:

1. Do you prefer a **percentage margin** (e.g. 20% or 25% profit), a **fixed cash profit** (e.g. ₹3,500 per pair), or the **strategic sweet spot** (₹17,599 on core models to beat Crepdog Crew)?
2. Would you like us to display a **crossed-out Reference MRP** (e.g. showing ₹22,000 crossed out to your ₹17,599 price) to show customers a 20% discount on the website?

Once you confirm your preferred formula, the team will activate it across the entire On Running catalog!